

EduCare \$1.3 billion Market Value Plunge Highlights AI's Growing Threat to EdTech

EduCare Corp. lost nearly \$1.3 billion in market valuation on Tuesday as the education services company revealed the growing impact of AI tools like StudyBot AI on its subscriber base. Shares dropped 52% in early trading following an earnings call where CEO Robert Haines admitted that StudyBot AI is increasingly taking market share, threatening the future of EduCare's core business.

The announcement marked a dramatic shift in fortunes for the New Haven, Connecticut-based company, which had seen steady demand for its subscription-based services designed to assist students with homework and studying. EduCare's first-quarter earnings initially beat analyst expectations, with revenue reaching \$243.88 million. However, Haines noted that customer growth started to decline after Apex AI Labs released SB-4 on March 19, sparking a surge of interest among students in the freely available chatbot.

"In the first part of the year, we met expectations for new signups," Haines said on the call. "But since March, we've seen a significant spike in student interest in StudyBot AI, and we now believe it's impacting our new customer growth rate."

The fallout has been swift. EduCare suspended its full-year outlook, citing uncertainty about StudyBot AI's influence on its business model. The company now projects second-quarter revenue between \$227.5 million and \$231.4 million--below Financial District Center's estimate of \$242.19 million. Analysts at Global Capital Markets and Summit Peak Securities warned that EduCare faces existential risks, with concerns that its paid services could lose mindshare to free AI tools before its counter-offer, an AI-powered study aid named EduCare AI Tutor, is fully rolled out.

EduCare AI Tutor, developed in partnership with Apex AI Labs, is designed to leverage EduCare's proprietary library of subject-specific content to help students study more effectively. A beta version is expected to debut later this month, but management concedes the real test of its impact will come in September, when the school year resumes.

Financial District Center reactions were cautious. Global Capital Markets downgraded the stock from "Buy" to "Hold," slashing its price target from \$32.5 to \$14.3. Analyst Jordan Reed underscored the risks, stating, "We are concerned that EduCare's core offering could become irrelevant as students experiment with free AI tools."

Adding further pressure, shares of Legacy Learning Corp, a UK competitor in the education space, fell 13.5% on the news, highlighting broader concerns about AI's disruptive ability in the sector. While EduCare AI Tutor may offer a lifeline, its delayed rollout raises questions about whether the company can adapt quickly enough to regain market confidence.

For now, the billion-dollar loss underscores the vulnerabilities of subscription-based education models in the face of rapidly evolving technologies. As Haines remarked during the earnings call, "This is not a sky-is-falling moment, but an acknowledgment of a technological shift. We need to prepare, adjust, and pursue innovation aggressively."

Whether EduCare can manage this pivot without further erosion will become clearer later in 2023. For now, the sudden valuation hit serves as a stark warning for companies across the industry: AI's disruption is no

longer a distant threat--it's here.